MAVEN TOYS

Colorbuds is fading: what to do next

Business review | Data through Sep 30, 2023



Our top profit toy is fading, and a newer toy is already making up part of the gap

COLORBUDS' SHARE OF QUARTERLY PROFIT

28% → 13%

Q3 2022 to Q3 2023

PLAYFOAM PROFIT PER MONTH

$20K

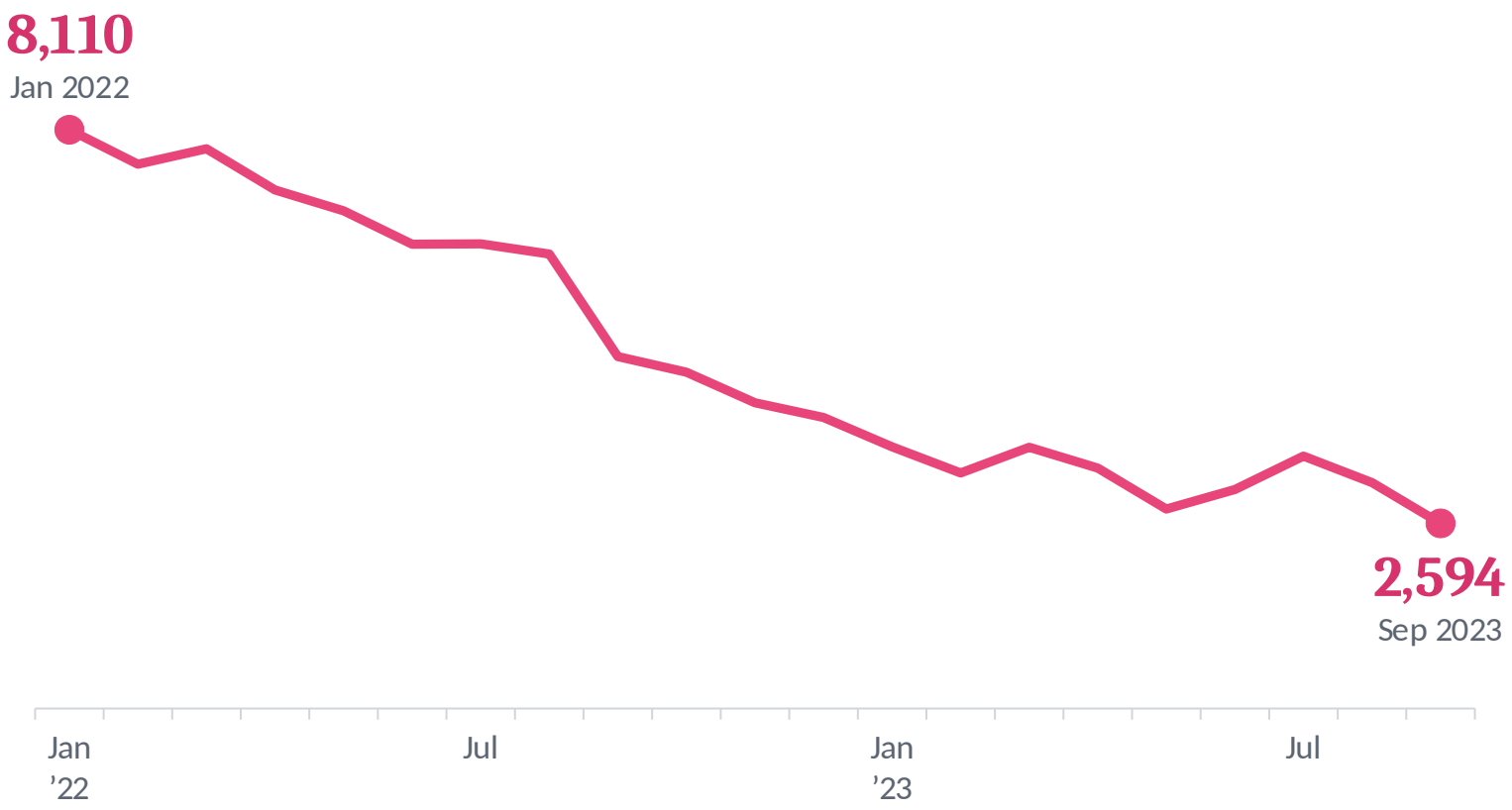
At its September pace

- Colorbuds is still our #1 profit toy, but its share has more than halved
- Playfoam launched in mid-August and is already a top-5 profit toy
- Playfoam's September pace is nearly half of the $44K a month Colorbuds has lost

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Colorbuds sales have fallen 68% since January 2022, across almost every store

COLORBUDS UNITS SOLD PER MONTH



WHAT WE SEE

- Down in 48 of 50 stores, in every store type
- Every store still carries it, so this is weaker demand, not empty shelves
- Quarterly profit has roughly halved: $142K to $74K

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Fading is normal for our toys: 9 of 10 recent launches are 40%+ below their peak

9 of 10

recent launches are 40%+ below their peak month



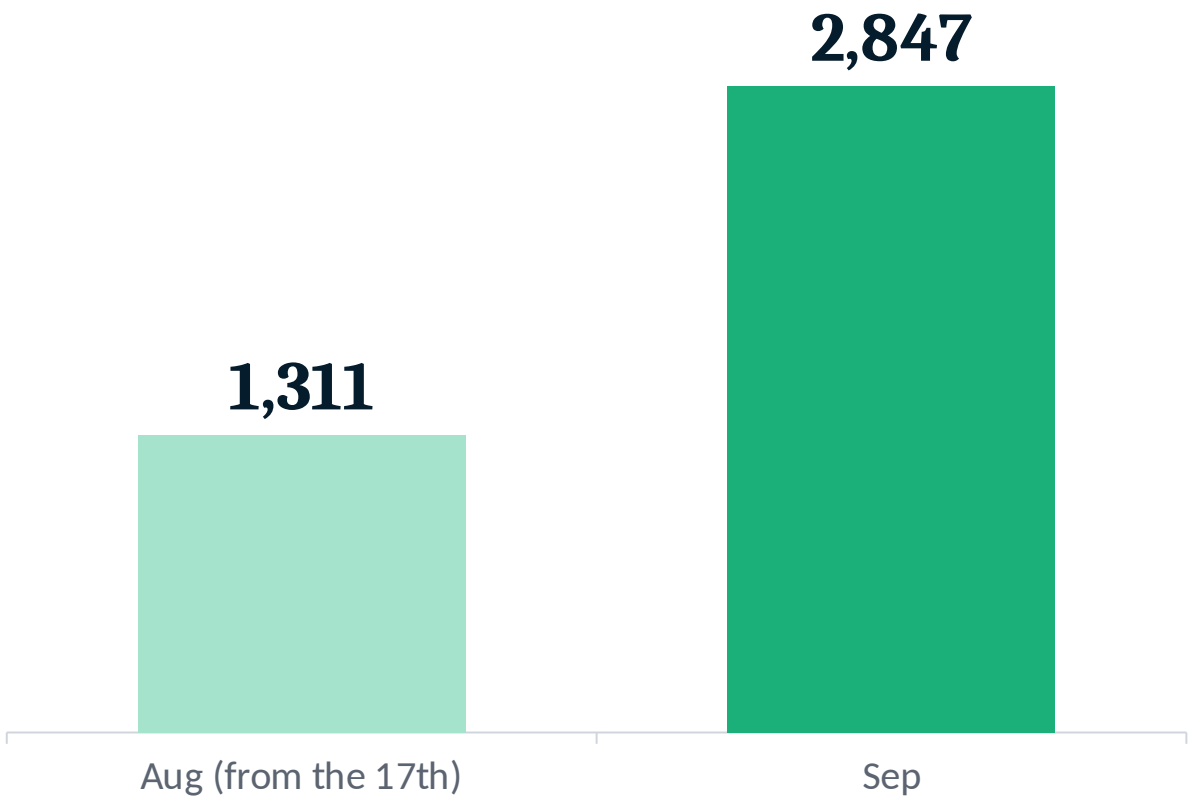
EXAMPLES

- Jenga peaked in Jul 2022 and is now down 92%
- Etch A Sketch peaked its second month and is down 56%
- Hot Wheels is the lone exception, down just 9%
- Colorbuds follows the same pattern

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Playfoam is the early bright spot, but 13 empty stores are costing us about $5K a month

PLAYFOAM UNITS SOLD PER MONTH



64% margin

$7 profit on every unit

13 stores out of stock

about $5K a month left on the table

- Launched Aug 17 and already a top-5 profit toy
- New toys often cool off, so the window to act is short

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

We recommend three moves: back newer, higher-margin toys, test one Colorbuds fix, and review in 8 weeks

1

Keep Playfoam in stock

- Refill the 13 empty stores
- Check weekly; worth about $5K a month

2

Test one Colorbuds fix

- 10 test stores vs 10 similar ones
- Up to about $11K a month if it works

3

Review in 8 weeks

- Scale what works, stop what doesn't
- Pick the next higher-margin toy

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.